Which Gold Price Are You Looking At?

You trade XAUUSD. The futures chart shows a different price. Meanwhile, someone tells you physical demand is strong—even though gold is falling. How can all three make sense?

By **Prakash Bhudia** | Global Trading Strategist & Technical Markets Expert

A gold CFD, a futures contract and a physical gold bar give you different rights and involve different costs. This article explains what you own, why their prices can differ, and why increased physical buying does not always push the price up.

What do I own?

A contract on the price, not metal, when you trade a CFD.

Why can futures cost more?

Delivery is later. Financing helps explain much of the roughly $61 gap in my sample.

How can gold fall while physical buying rises?

Other investors can sell. In Q3 2022, bar-and-coin demand rose 41% quarter on quarter while ETFs had 227 tonnes of outflows.

---

1. What do I own when I buy XAUUSD?

If you buy a gold CFD, you own a contract with your broker. Its value changes with the quoted gold price. You do not own a gold bar, and closing your position settles your trading profit or loss rather than delivering metal to you.

Buying physical gold is different. You own the metal, either in your possession or held for you. With an **allocated** holding, specific bars are identified as yours. With an **unallocated** bullion account, you have a claim on an institution for a quantity of gold, without particular bars assigned to you.

WHAT IS ACTUALLY YOURS?

GOLD CFD	ALLOCATED GOLD	UNALLOCATED GOLD
A trading contract	Identified metal	A claim for metal
Your profit or loss follows the broker's quoted price.	Specific bars are held as your property.	An institution owes you a quantity of gold.
No ownership of bullion	**You own the bars**	**No specific bars assigned**

You will often hear the term **"paper gold"**. It is a loose label for financial contracts and claims linked to gold, rather than one particular product. A CFD, an unallocated account and a physically backed gold ETF give their holders different rights. Putting them under the same label can hide those differences.

Spot and futures describe another distinction: settlement timing. A wholesale spot transaction normally settles shortly after the trade—usually two business days in London. A futures contract specifies a later delivery month. A spot transaction can settle into an unallocated account, while a COMEX gold futures contract can lead to physical delivery under exchange rules. So "spot" does not automatically mean physical ownership, and "futures" does not mean there is no connection to metal.

For the XAUUSD trader, the immediate point is simple: your CFD gives you exposure to the price. The wider spot and futures markets help establish that price, even though you are not buying their delivery arrangements.

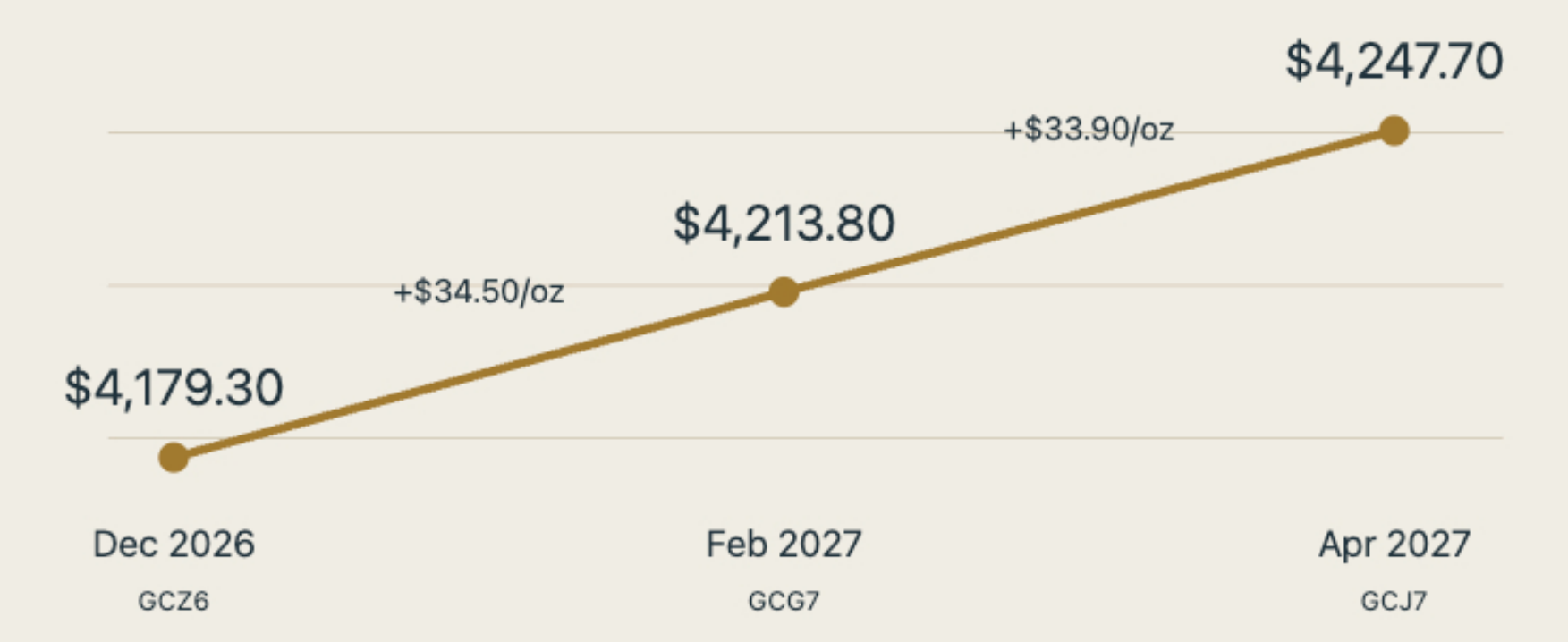
2. Why does the futures chart show a different price?

A December gold contract and an April gold contract are agreements for different delivery months. Think about what it takes to buy gold in December and keep it until April: the purchase ties up money, and the metal must be held somewhere.

If you borrow the purchase money, you pay interest. If you use your own money, you give up interest it could have earned elsewhere. Storage and insurance can add to the bill. These holding costs help explain why later delivery can cost more.

OBSERVED FUTURES CURVE · 16 OCTOBER 2026, MINUTE ENDING 17:40 UTC

The same gold, three delivery dates



Read the slope: April delivery costs $68.40/oz more than December. The curve prices time as well as metal.

Prices in dollars per troy ounce. Each point is the last trade recorded in that minute; the three trades need not have happened at the same instant.

This snapshot shows December, February and April contracts within the same recorded minute on 16 October 2026. April gold cost $68.40 per ounce more than December gold. The upward slope is called **contango**. It is a difference between prices for delivery dates, not a prediction that gold must rise by April.

I also compared December futures with spot quotes over 116 days, from 4 May to 16 October 2026, matching the observation times as closely as the data allowed. December futures were typically about **$61 per ounce above spot**. Using US Treasury interest rates as a reference, the estimated interest cost of buying gold and holding it until the contract ended was about **$70 per ounce**.

The extra price of December gold was about $9 per ounce less than the estimated interest cost. Gold can earn income when it is lent out, reducing the net cost of holding it. That could explain part of the difference; funding and delivery terms also affect the price.

Holding gold exposure through time has a financing cost. In futures, it is reflected in the price for later delivery. On a rolling gold CFD, it generally appears as an overnight adjustment, with the exact charge or credit depending on the provider, account and trade direction.

And if the futures price rises far enough above the cost of buying and holding metal, participants with funding and delivery access may buy physical gold and sell futures against it. Their buying supports spot; their selling restrains futures. That is one way the markets stay connected.

▾ About the measured comparison

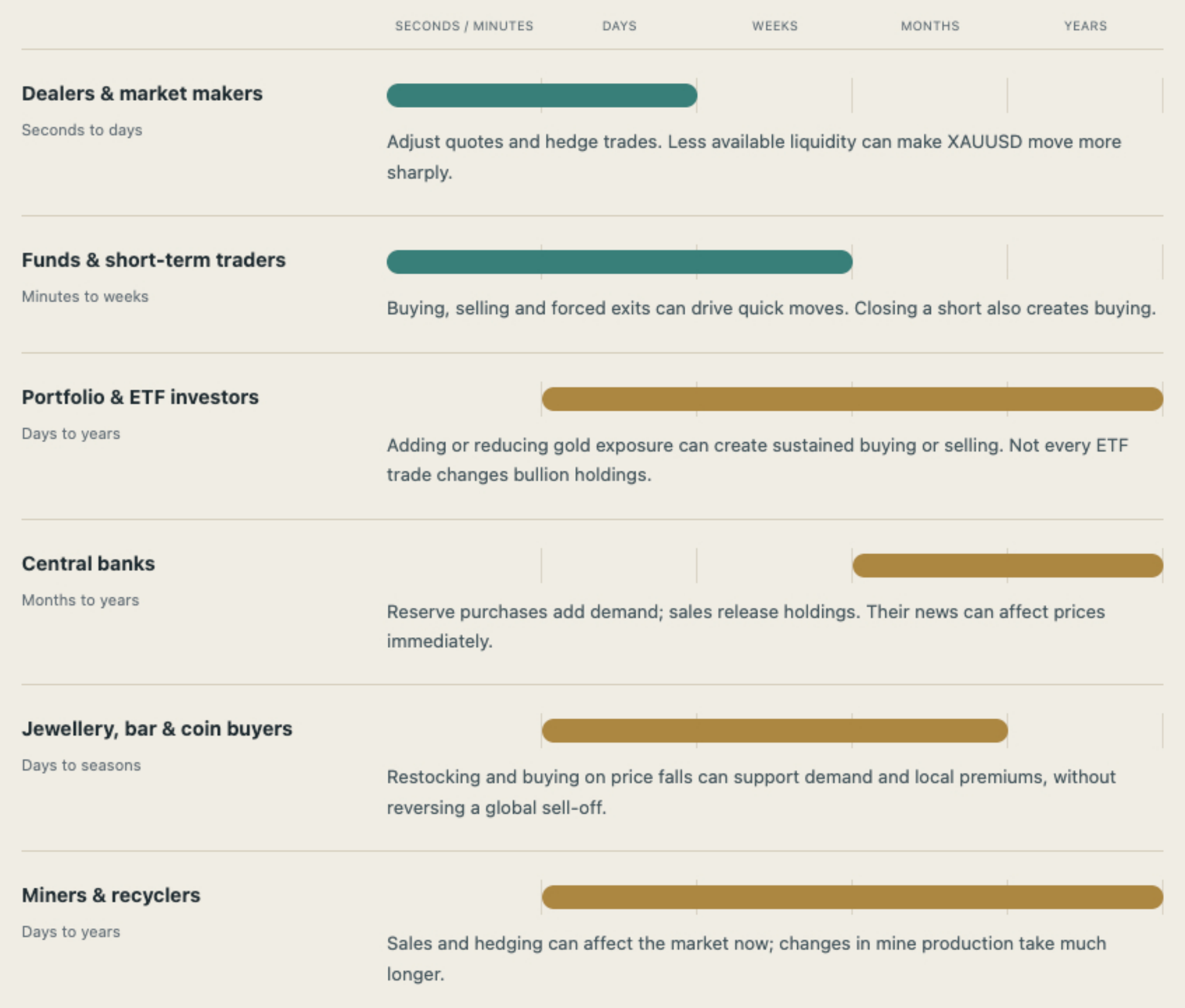
The December contract was used throughout; it was not the nearest contract on every date. The spot observations are Deriv quotes. The median premium was $61.04/oz and the median financing estimate was $69.64/oz. Their difference is $8.60/oz, rounded to $9 in the text. Calculating the difference day by day instead gives a median of $7.64/oz; these are different calculations. Treasury rates are a funding reference, not an observed trader's borrowing cost. Spot quotes were sampled near 13:30 New York time; the futures daily-price timing is inferred to represent settlement. The chart above is a separate one-minute snapshot of three futures months.

3. How can gold fall while physical buying rises?

Because the people buying bars and coins are not the only people trading gold. They may be adding to their holdings while funds and other investors are reducing theirs. Lower prices can also attract physical buyers: the buying may be a response to the fall.

WHO CAN AFFECT XAUUSD?

Different participants. Different timescales.



Participant	Timescale	Effect
Dealers & market makers	Seconds to days	Adjust quotes and hedge trades. Less available liquidity can make XAUUSD move more sharply.
Funds & short-term traders	Minutes to weeks	Buying, selling and forced exits can drive quick moves. Closing a short also creates buying.
Portfolio & ETF investors	Days to years	Adding or reducing gold exposure can create sustained buying or selling. Not every ETF trade changes bullion holdings.
Central banks	Months to years	Reserve purchases add demand; sales release holdings. Their news can affect prices immediately.
Jewellery, bar & coin buyers	Days to seasons	Restocking and buying on price falls can support demand and local premiums, without reversing a global sell-off.
Miners & recyclers	Days to years	Sales and hedging can affect the market now; changes in mine production take much longer.

Long-term demand does not prevent a short-term fall.
Central banks and physical buyers can be buying while other investors sell more urgently.

Bands show broad time horizons, not measured strength. Roles overlap, and news about any group can move prices immediately. "Seasons" means recurring buying periods, such as festivals and weddings.

Q3 2022 provides a clear example. The dollar gold price fell 8% during the quarter. Yet global bar-and-coin demand rose 41% from the previous quarter to 351 tonnes. Over the same period, gold-backed ETFs recorded 227 tonnes of outflows.

JULY–SEPTEMBER 2022 · FIGURES REPORTED AT THE TIME

Physical buying rose. Gold still fell.

DOLLAR GOLD PRICE	BAR & COIN DEMAND	GOLD-BACKED ETFs
−8%	+41%	−227t
Change over the quarter LBMA PM benchmark	Versus the previous quarter 351 tonnes purchased	Net outflows during the quarter

Different measures describe different parts of the market. The percentages and tonnes are not quantities to subtract from one another.

That does not prove ETF selling alone caused the decline. It shows why "physical buying is strong" is not enough to conclude that the price must rise. The price reflects the trading taking place across connected markets, while a demand report describes particular groups over a period of time.

The motives can differ too. In March 2020, contemporary reporting described investors selling gold to raise cash for margin calls on other assets. At the same time, some retail buyers wanted gold for security. Selling to meet an immediate cash obligation can coexist with a positive longer-term view of gold.

We also need to be precise about which physical buyers we mean. Western retail buying strengthened in early 2020, but global bar-and-coin demand fell in the first quarter. One region, one product and worldwide demand are not interchangeable.

So when you hear that physical buying is increasing while XAUUSD is falling, ask: **who is buying, over what period, and who else is selling?** Those questions are more useful than assuming the two observations contradict each other.

Your XAUUSD chart, a futures contract and a physical-demand report each describe a different part of the gold market. The interesting work is finding when they reinforce one another—and when they disagree.

Market figures are observed; financing is an estimate.

Disclaimer:

The performance figures quoted refer to the past, and past performance is not a guarantee of future performance or a reliable guide to future performance.

The information contained in this article is for educational purposes only and is not intended as financial or investment advice. The information may become outdated. We recommend you do your own research before making any trading decisions.

The products offered on our website are complex derivative products that carry a significant risk of potential loss. CFDs are complex instruments with a high risk of losing money rapidly due to leverage. You should consider whether you understand how these products work and whether you can afford to take the high risk of losing your money.